

VOXR pitch deck

PITCH — VOXR — VERDICT

PROPOSED — PENDING ADJUDICATION — Both benches say do not buy at \$5.625; the proposal on the table is a *conditional* one: no position today, and a two-part reopen test at \$2.10–\$3.15.

What we believe

Vox Royalty is a small mining-royalty company. The idea that put it in front of us was simple: royalties on gold mines should hold up — or gain — when the broad market falls, because the royalty owner collects a slice of revenue without paying mining costs. That makes it a candidate for the part of the book meant to survive a drawdown.

After reading the company's own filings, we no longer believe that description fits this company.

1. **The cash is mostly not gold.** In the first half of 2026, royalty revenue was \$3,743,878. A single asset — Kanmantoo, a **copper** mine in South Australia — produced \$1,970,000 of it, 53%. In the second quarter alone it was 68%. Copper falls when the economy falls. It is the opposite of the ballast we were shopping for.
2. **The second-biggest historical earner is an iron ore mine that is being switched off.** Wonmunna's royalty fell from \$3,000,000 to \$720,000 because the operator moved its ore feed to a different mine (Lamb Creek). That single change more than explains the whole year-over-year revenue decline.
3. **Strip out those two, and the rest of the “70+ asset portfolio” halved** — \$2,095,339 down to \$1,053,878, a 49.7% decline. What is marketed as a diversified book of 70+ royalties is, in cash terms, one big asset at a time, each one wasting, sitting on top of a shrinking remainder.
4. **Most of the reported revenue isn't royalty income at all.** About 83% of first-half receipts came from gold *purchase-and-resale* agreements — the company buys ounces at a formula price and sells them at market, keeping the spread. That is a trading spread, not a royalty. It consumes cash before it produces cash, and the deliveries are capped in total ounces, so it runs out.
5. **The price already exceeds the best case we can construct.** At \$5.625, the enterprise value is about \$359.5M. If we hand the company everything it wants — the stalled Los Filos mine restarts tomorrow at 100% certainty, the royalty stub earns a full multiple — we still only get to \$3.14–\$5.30 per share. Today's price sits at or above the top of that range.

Our belief: this is a fairly-to-richly priced, pro-cyclical royalty trading company being valued as a counter-cyclical gold royalty compounder. Not a buy at \$5.625. Possibly interesting under \$3.15, and only if the shrinking part stops shrinking.

What the market believes

The market believes this is a growing royalty compounder in a strong gold tape:

- The company guided full-year 2026 receipts to **\$32–37M**; the analyst consensus is **\$33.555M**, sitting neatly inside that range. Nobody disputes the number.
- The company raised its dividend and markets “up to 90% receipts growth in 2026.”
- It just announced another acquisition — two Australian copper/gold royalties from Latitude 66 for up to A\$3.4M, announced 2026-08-20 ([SEC 6-K, exhibit 99.1](#)). The story is “serial accretive acquirer in a Tier 1 jurisdiction.”
- The stock is 16% below its 52-week high but **67% above its 52-week low**. This is a near-high tape, not a dislocated one.

So the disagreement is not about the forecast. **We agree with the consensus number. We disagree about what that number is worth**, because we think the number is made of the wrong stuff: capped trading spreads and pro-cyclical base-metal royalties, not durable gold royalty income.

Why we might have edge

Three things we found that we could not find published anywhere else:

1. **Nobody decomposes the royalty line by asset.** The press release the market reads gives a blended “receipts” figure. The concentration in Kanmantoo (53% of royalty revenue), the Wonmunna wind-down, and the halving residual are visible only in the management discussion buried in exhibit 99.2 of the quarterly filing ([primary source](#)). Marketing metric and audited metric disagree, and the difference is the whole thesis.
2. **The company gave us its own valuation anchor and it is far below the tape.** In June 2026 Vox sold its i-80 gold stream — roughly 100,000 ounces of remaining deliveries — for **\$4.8M in shares**. At the company’s own realized spreads of \$83–94 per ounce, that stream was worth \$8.3–9.4M undiscounted. It cleared at about **55 cents on the undiscounted dollar**. Apply that same ratio to what’s left (Greenstone ~226koz, Los Filos ~588koz) and the entire purchase-agreement book is worth roughly **\$37M** — against a \$359.5M enterprise value. This is not our multiple assumption; it is a price this issuer transacted at, this quarter, for this exact asset class.
3. **The Kanmantoo royalty steps down 80%.** The filing says the rate is 2.5%, “stepping down to 0.5% after >85Kt copper produced.” At guided production of 12,750–14,000 tonnes a year, that is six-plus years away even counting from zero — so it is not an imminent problem, but it means the single asset carrying half the royalty income has a written expiry on its economics that no summary mentions.

The edge, if we have one, is **exclusion**: we can say precisely why this is not the asset the cohort thinks it is, and we can put a number on the best case.

Why it might be priced in

Honest concessions:

- **The guidance already prices the second-half decline.** First-half receipts were \$22.19M against a \$32–37M full-year guide. That implies second-half receipts of \$9.8–14.8M — down 33% to 56%. The company told everyone. This is not a hidden landmine; it is disclosed and consensus.
- **The 2027 “cliff” we initially thought we found does not exist.** The existing Greenstone agreement delivers up to 58,500 oz/year until March 1, 2027 — but a replacement was signed in January 2026 at 29% of refined gold, minimum 63,600 oz in 2026, and it is *larger* annually than the one it replaces. There is a total-ounce cap (~226koz, roughly 3.5 years of deliveries), not an expiry cliff.
- **The stock-based compensation critique is well-known.** First-half stock comp of \$3,775,725 slightly exceeds first-half royalty revenue of \$3,743,878, and fully diluted shares (74,383,536) exceed outstanding (69,452,471) by 7.1%. Any holder can see this in the same filing; it is a reason to size down, not a secret.
- **Gold royalty companies have traded at premiums to net asset value for a decade.** “Expensive versus NPV” has been true of this whole sector for years and has not been a shorting signal. Our valuation kill is a reason not to own it; it is not, on its own, a reason to expect the price to fall.

The genuinely novel parts (per-asset decomposition, the i-80 sale as an anchor, the trading-spread mechanics) are novel *because nobody bothered*, not because they are hard — which means they can become consensus at any time, or never.

What could go wrong

(This is the pre-mortem for the conditional position — a starter bought in the \$2.10–\$3.15 reopen band. Today we own nothing, so today’s risk is purely the risk of being wrong to stay out.)

Failure narrative 1 — We buy the “ballast” and it behaves like a cyclical. We take the starter at \$3.15 in a general drawdown. But the cash flow is copper (Kamantoo, 53%) and iron ore (Wonmunna’s successor assets), both of which fall with industrial demand. The purchase-and-resale gold book requires paying cash for ounces *before* selling them, so in a fast gold decline the spread compresses or inverts and the book consumes working capital exactly when we wanted it to generate cash. We end up holding a levered cyclical in the slot reserved for the thing that pays us during the crash. *Tripwire exists*: the per-asset royalty split in each quarterly management discussion, plus copper and iron ore spot. Monitorable.

Failure narrative 2 — The band is a value trap, and we fire mechanically into it. The price reaches \$3.15 not because the market got scared but because the residual royalty book keeps halving — another operator relocates feed, another single-mine annuity retires, and the “70+ assets” continue to produce almost nothing. We buy a declining stub at a lower multiple of a smaller number and it is still expensive. *Tripwire exists, and it is why the entry test is deliberately conjunctive*: the price band alone must not trigger a buy. It must be accompanied by a printed quarter in which royalty revenue

excluding Kanmantoo grows year-over-year. If the price gets there and that number does not, we do not buy.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. The royalty deeds themselves.

Every economic term that matters here lives in private contracts we cannot read. We know the Kanmantoo royalty steps down after 85,000 tonnes of copper — but **the company has never disclosed how many tonnes are already counted**, or whether the counter includes the historical open-pit era or only the 2024 underground restart. The same opacity applies to deduction definitions in each net-smelter-return royalty, area-of-interest clauses, operator buy-back rights, and dispute provisions. An operator could reinterpret the deduction basis, a counter could turn out to be nearly exhausted, or a deed could be challenged — and the first we would learn of it is a revenue line that came in wrong, or a lawsuit. There is no filing, no satellite image, no data feed that reveals a number the issuer does not publish. **Unknown-unknown class: undisclosed private-contract mechanics in a non-operating asset holder.** We own a claim on someone else's mine, defined by a document we have never seen, administered by a counterparty whose concentration the company declines to quantify. (The filing's only counterparty language is qualitative — "subject to the credit risk and performance of the counterparties who own and operate the mines" — with no operator-level concentration disclosure, despite Equinox spanning both Greenstone and Los Filos. The absence of that note on a two-asset-dependent book is itself the finding.) We accept this as unhedgeable and it is a direct argument for a small size and against ever making this a core holding.

The reflexive and structural leg — our own footprint, our own flow, and our own rules.

- **We do not know if we can trade this.** The executability check was never completed: broker calls were permission-denied to both benches, and no shell was available. **We have no verified average daily volume, no bid-ask spread, no borrow data.** This is a \$390M dual-listed micro-cap with two separate order books (NASDAQ and TSX), which usually means each one is thinner than the combined figure suggests. **No size may be set until this is closed.** Stating a share count today would be inventing a number.
- **We are predicting the flow we would be bidding into.** Our own thesis says the second half brings a 33–56% receipts decline and a shrinking residual book. If we place a standing limit order at \$3.15 and walk away, the most likely way it fills is *on our own predicted bad news*. A resting order underneath a quarterly report is an accidental bet that nothing bad happens — the opposite of what we believe. Any entry here must be worked deliberately after a print, not left resting through one.
- **Doctrine interaction, stated plainly:** our house default is that a clean adversarial review with no named killer produces at least a starter position. That default does not apply here, because we have named killers: the ballast premise is falsified by the company's own revenue decomposition, and the best-case valuation sits below the current price. Going flat is the exception being properly invoked, not the lazy answer. Counter-argument we accept: we have been wrong before by demanding a discount to a self-built NPV in a sector that has structurally traded above NPV for a decade.

- **Cost of being wrong to stay out:** if gold keeps rising and the acquisition machine keeps working, this compounds away from us and we own none of it. That is a real, unbounded-upside miss, and the reopen band may never print.

If this position loses money, the most likely reason will be that we bought a pro-cyclical copper-and-iron-ore royalty stub in the slot reserved for crash protection, and it fell with the market at the exact moment we needed it to hold.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Price is \$5.51 and the stock is dislocated	Live broker tape, 2026-08-31	\$5.625; 16% below the 52-week high but 67% above the 52-week low	NO — the originating brief's premise was wrong. This is a near-high tape. Our own screen mislabeled it as dislocated
"Royalty revenue fell 43% year over year despite record gold prices"	Read the management discussion narrative, not just the tables	The decline is iron ore : the operator moved ore feed from Wonmunna to Lamb Creek, and that royalty fell \$3.00M→\$0.72M, explaining 134% of the total decline. Excluding Wonmunna, royalty revenue <i>grew</i> 23.7%	NO — OUR RED BENCH GOT THE CAUSE WRONG, and so did the originating brief. It was never a gold-price story. Our blue bench caught it
"Margin per ounce fell 54% quarter over quarter, proving the spread inverts as gold rises"	Pulled the full quarterly series instead of two points	Q4-25 \$93.71 → Q1-26 \$179.41 → Q2-26 \$83.26. Q1 was the spike, not Q2 the collapse. Two quarters apart it is -11%, not -54%. Part of the drop is also a divestiture (the i-80 stream, sold June 2026)	NO — OUR RED BENCH CHERRY-PICKED, using a table that contained the disconfirming quarter. The mechanism (cash out before cash in) survives; the "proof" does not
"The gold agreement expires 2027-03-01 — a revenue cliff"	Read the replacement agreement terms	Replacement signed January 2026 and is larger annually (min 63.6koz vs 58.5koz). The real constraint is a total-ounce cap (~226koz ≈ 3.5 years)	PARTIALLY — OUR RED BENCH OVERSTATED IT. Wasting, not expiring
"First-half net income was \$41.52M, driven by mark-to-market"	Attempted line-item corroboration in the notes	Could only identify ~\$11.5M of gains (Federation \$5.19M + i-80 \$2.33M + Los Filos \$3.94M). The direction (marks-driven, not cash) is confirmed; the specific figure is not	UNVERIFIED — our red bench's number could not be reproduced by our blue bench
Kanmantoo is 53% of royalty revenue and it is copper	Re-pulled the primary filing independently	\$1,970,000 of \$3,743,878 (52.6%); Q2 \$1,065,000 of \$1,574,791 (67.6%); up from \$350,000 in Q2-25	YES — confirmed twice, independently
The residual portfolio is shrinking	Subtracted both the outgoing and incoming top assets	Excluding Wonmunna <i>and</i> Kanmantoo: \$2,095,339 → \$1,053,878, -49.7%	YES

Claim	How checked	Found	Confirmed?
Kanmantoo royalty steps down 2.5%→0.5% after 85kt copper	Read the contract summary in the filing	Term confirmed verbatim. Tonnes-to-date and the counter's start basis are not disclosed anywhere	TERM YES / TIMING NO. At guided output, 85kt is 6+ years away even from zero — so we downgraded this from a near-term threat to a data gap
Enterprise value and multiples	Recomputed from the balance sheet	69,452,471 sh × \$5.625 = \$390.67M; cash \$31.13M; EV \$359.5M = 10.7× guided receipts, 48× annualized royalty revenue; market cap is 2.4× total assets of \$162,969,229	YES — arithmetic verified by both benches
Best case, fully funded (Los Filos restarts tomorrow at 100%)	Built two independent versions	Royalty stub \$7.5M/yr at 20×/30×/40× = \$150M/\$225M/\$300M, plus offtake book ~\$37M, plus cash \$31.1M = \$3.14 / \$4.22 / \$5.30 per share	YES — and today's \$5.625 is above every rung. The prize we cannot lose still doesn't beat the price we'd pay
Los Filos restart is free optionality	Read the fair-value assumptions note	The company already books it at 70,000 oz/year and 25% restart probability . A restart confirms an existing mark rather than revealing a new asset	YES — the “hidden option” was already on the balance sheet
Can we actually trade this?	Broker API, both benches	Permission denied to both. No shell access. No volume, spread, or depth data obtained	NO — gap remains open. Neither bench closed it, and we are reporting that rather than assuming liquidity
Satellite check on the Los Filos site (would settle the 25% restart mark)	Attempted	No connector or shell access this session	NOT RUN — the single highest-value missing check. Note it would not change the verdict: even a certain restart leaves the price above fair value

PROPOSED ENTRY BANDS

Today: NO ENTRY. No position, no orders, no resting bids. The price is above the fully-funded best case both benches independently constructed.

Reopen test — both conditions required, not either:

	Level / condition	Source of the number
Price gate	≤ \$3.15	Blue bench's prize table: \$3.14/share is the royalty stub at 20× plus the offtake book at the i-80 clearing ratio plus cash. Red bench independently landed at ~\$3.20 by a

	Level / condition	Source of the number
		different route (royalty-only 20× + cash + Los Filos at full probability). Two methods, same neighborhood
Fundamental gate	A reported quarter in which royalty revenue excluding Kanmantoo grows year-over-year , and margin per ounce on the purchase agreements recovers above \$139	Directly answers the two live kills: the halving residual and the spread mechanics
Deep band	\$2.10	Same table at a 20× stub multiple with no multiple expansion credit — the level at which the fully-funded best case clears +50%
Alternative unlock (either gate can be replaced by this)	Conversion of a purchase-and-resale agreement into a true royalty , removing the cash-outlay-before-revenue problem	This would repair the mechanism, not just the price
Sizing	BLOCKED — cannot be set. No verified average daily volume, spread, or depth; broker access was denied to both benches. Intent, if and only if the executability check clears and both gates fire: a starter of 0.25–0.50% of book , worked in two tranches, capped at ≤1% of daily volume, and not left resting through a quarterly report	Executability gate INCOMPLETE; the reflexive leg above
Exit / trim	Not applicable — no position	

Catalyst dates:

- **2026-11-11 — Q3 results. UNCONFIRMED.** This date is derived from a data vendor, not from a company announcement. Q1 was reported 2026-05-13 and Q2 on 2026-08-12, so mid-November is a cadence inference. Treat as approximate.
- **November 2026 — Hammer Metals / Austral Resources scheme implementation** (the takeover of the Kalman operator). Date is “expected November 2026” per the company’s own press release; no day named.
- **2027-03-01 — existing Greenstone delivery agreement ends** and the replacement takes over. Confirmed in the filing.
- **Mid-2027 — Austral’s stated restart of the 3.0Mtpa Rocklands processing plant**, which is the pathway that would make the newly acquired Kalman royalty worth anything.
- **Undated — completion of conditions precedent on the Latitude 66 acquisition** (announced 2026-08-20).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.1 (deck-provisional: Deep band: level at which the fully-funded best case (Los Filos restart at 100%) clears +50%)
- filing watch: 6-K until 2027-02-27 (deck-provisional: Every load-bearing fact (per-asset royalty split, margin per ounce, Los Filos probability, mine-feed c)
- dated pack VOXR|2026-11-11: VOXR: Q3 2026 results - vendor-derived date, no company announcement; tests the residual (ex-Kanmantoo) royalty growth gate and the margin-p
- dated pack VOXR|2026-11-30: VOXR: Hammer Metals / Austral Resources scheme implementation, the takeover of the Kalman royalty operator - company says 'expected November
- dated pack VOXR|2027-03-01: VOXR: Existing Greenstone delivery agreement (up to 58,500 oz/yr) ends and the January-2026 replacement (29% of refined gold, ~226koz total
- dated pack VOXR|2027-06-30: VOXR: Austral's stated restart of the 3.0Mtpa Rocklands processing plant - the only pathway that gives the newly acquired Kalman royalty rev

What remains unverified

1. **Whether we can trade it at all, and in what size.** No volume, no spread, no depth. Broker access denied to both benches. This blocks sizing outright.
2. **Cumulative copper tonnes at Kanmantoo, and the counter's start basis.** Undisclosed. Determines whether the 80% royalty step-down is six years out or much closer. The company has never published it.
3. **The \$41.52M first-half net income figure.** One bench asserted it; the other could only corroborate ~\$11.5M of identifiable gains. The direction (accounting marks, not cash) is confirmed; the magnitude is not.
4. **Los Filos restart odds.** The company marks it at 25%. We had no way to test that independently — the satellite check on the Mezcala/Guerrero site that would show physical activity could not be run. Note that even a certain restart leaves the price above our fair value.
5. **Counterparty concentration.** Equinox operates both Greenstone and Los Filos. The company discloses counterparty risk only in qualitative language and publishes no operator-level concentration figure. We cannot size a risk the issuer refuses to quantify.
6. **The royalty deeds themselves.** Deduction definitions, buy-back rights, area-of-interest clauses, dispute terms — none public. See failure narrative 3.
7. **The Q3 report date.** Vendor-derived, not company-announced.
8. **Whether the Latitude 66 acquisition closes,** and what the two new royalties are actually worth. The A\$3.4M price is small; the disclosure gives resource figures but no revenue path before Austral restarts Rocklands in mid-2027.

Primary sources: [SEC 6-K exhibit 99.2, management discussion and analysis, filed 2026-08-12](#) · [SEC 6-K exhibit 99.1, Latitude 66 acquisition, filed 2026-08-20](#) · [Wonmunna royalty terms](#)


```
{"price_gates": [{"level": 3.15, "direction": "below", "basis": "Reopen band  
upper: royalty stub at 20x + offtake book at the i-80 clearing ratio  
+ cash = $3.14/sh; red bench independently reached ~$3.20 by a  
different route"}, {"level": 2.10, "direction": "below", "basis":  
"Deep band: level at which the fully-funded best case (Los Filos  
restart at 100%) clears +50%"}, {"level": 6.70, "direction":  
"above", "basis": "52-week high breach – not an entry, a signal to  
re-examine whether the market knows something our decomposition  
missed"}], "event_gates": [{"forms": ["6-K"], "why": "Every load-  
bearing fact (per-asset royalty split, margin per ounce, Los Filos  
probability, mine-feed changes) appears only in exhibit 99.2; the  
press release omits all of them"}, {"forms": ["40-F"], "why":  
"Annual report – first place a full-year per-asset royalty  
decomposition and any change to the Kanmantoo step-down disclosure  
would surface"}, {"forms": ["SCHEDULE 13D", "SCHEDULE 13G/A"],  
"why": "Concentrated holder accumulation or exit on a 69.5M-share  
microcap changes the executability picture we never verified"}],  
"catalyst_dates": [{"date": "2026-11-11", "what": "Q3 2026 results –  
vendor-derived date, no company announcement; tests the residual  
(ex-Kanmantoo) royalty growth gate and the margin-per-ounce series",  
"confirmed": false}, {"date": "2026-11-30", "what": "Hammer Metals /  
Austral Resources scheme implementation, the takeover of the Kalman  
royalty operator – company says 'expected November 2026', no day  
named", "confirmed": false}, {"date": "2027-03-01", "what":  
"Existing Greenstone delivery agreement (up to 58,500 oz/yr) ends  
and the January-2026 replacement (29% of refined gold, ~226koz total  
cap) takes over", "confirmed": true}, {"date": "2027-06-30", "what":  
"Austral's stated restart of the 3.0Mtpa Rocklands processing plant  
– the only pathway that gives the newly acquired Kalman royalty  
revenue", "confirmed": false}], "immediate_entry": null}
```